

AUDIT INVESTIGATION REPORT

Investigation No. INV-00175 | Type: Vendor Risk Assessment

Investigation ID:	INV-00175
Investigation Type:	Vendor Risk Assessment
Status:	COMPLETED
Trigger Source:	External regulator inquiry
Lead Investigator:	Donald Coleman (EMP-21249)
Subject Employee:	Nicole Chen (EMP-16131)
Related Vendor:	KryptonPath Ltd International (VND-03007)
Related Transaction:	TXN-894944
Scope Period:	2021-09-21 to 2023-01-13
Created Date:	2023-11-19
Completed Date:	2024-04-20
Outcome:	PARTIALLY SUBSTANTIATED

1. AUDIT QUESTION

"Identify vendors operating without a valid compliance certificate."

2. BACKGROUND

This investigation was initiated following a external regulator inquiry relating to activity associated with employee Nicole Chen (EMP-16131) and vendor KryptonPath Ltd International (VND-03007). The investigation scope covers the period 2021-09-21 to 2023-01-13 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-894944 (amount 260.84 USD, risk score 0.95). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-001929	MEDIUM	FRAUD PATTERN	Round-number transaction of \$104,976 processed at 00:41 — outside standard business hours. Flagged by anomaly detection.
FND-002774	CRITICAL	POLICY BREACH	Claim EXP-185162 violates Policy POL-0001 section 4.2: Accommodation expenditure capped at \$100,000 per event.

5. CONCLUSION

The investigation found **PARTIAL** support for the concerns raised. While some irregularities were confirmed, a complete policy breach could not be conclusively established for all elements of the original allegation.

6. ACTIONS TAKEN

- No further action required; control gap addressed through process update.
- Matter referred to Legal & Compliance for further action.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Donald Coleman	EMP-21249	2024-04-20